

Town of Lunenburg

FY 2021 Preliminary Budget, Town Manager Recommendation

February 13, 2020

Heather R. Lemieux, Town Manager

FY2021 Budget Timeline to Date

- Finance Committee began budget discussions in July 2019
- Capital Planning Committee began in September 2019, met with departments in November and December 2019
- Town Manager sent target budgets to departments in December 2019 due back on January 2, 2020
- The Capital Planning Committee finalized prioritization of projects for the FY21 Plan on January 7, 2020
- Town Manager presented FY21 Capital Plan and FY21-FY25 Five Year Financial Forecast at the end of January 2020
- Town Manager presents a Preliminary FY21 Budget by mid-February

Preparing the FY2021 Recommendation

- Goal was to create a balanced budget that funds operating budgets using recurring revenues at current service levels with some exceptions.
- Original target budget used in December and Preliminary budget uses conservative revenue projections.
- Meets the Town's Financial Policies
- Certified Free Cash not used on operating budget and abides by the Town's Financial Policies:
 - **\$679,133 of Free Cash** towards Capital Items;
 - **\$110,000 of Free Cash** towards OPEB liability costs (10% of previous year's certified free cash);
 - **\$100,000 of Free Cash** deposited into the regular Stabilization Account per the policy;

FY2021 Target Budget

FY2021 Target Budget

- On the Revenue side:
 - Property Taxes: Included adding 2 ½ % to previous year's levy, \$350,000 for New Growth, and debt exclusion amounts
 - State Aid: In December we did not have the Governor's proposal so used level funded State Aid figures from FY19
 - Local Receipts: Included 2.27% increase over previous FY's estimate.
 - Other available funds: Did not address use of Free Cash. Other sources of available funds relatively similar to previous FY except funds from Sale of Cemetery Lots and PEG funds for indirect costs.

FY2021 Target Budget

- On the Expenditure side:
 - Level funded Cherry Sheet Offsets, State & County Charges and Choice/Charter Assessments from previous year's amounts
 - Departments were sent target budgets in December that included all contractual increases and level funded other expense categories except:
 - Included costs associated with additional FT Patrolman and Career Firefighter
 - Known audit costs
 - Estimate for Regional Dispatch from Finance Sub-Committee
 - Additional \$50K for Pavement Management
 - Known Principal and Interest debt payments for FY21
 - Included a 6.5% increase for Health Insurance for active and retirees
 - Included 10% increase for Worc. County Retirement
 - Included 2.5% increase for LPS and Monty Tech

FY2021 Preliminary Budget Vs. Target Budget: Assumptions and “Unknowns”

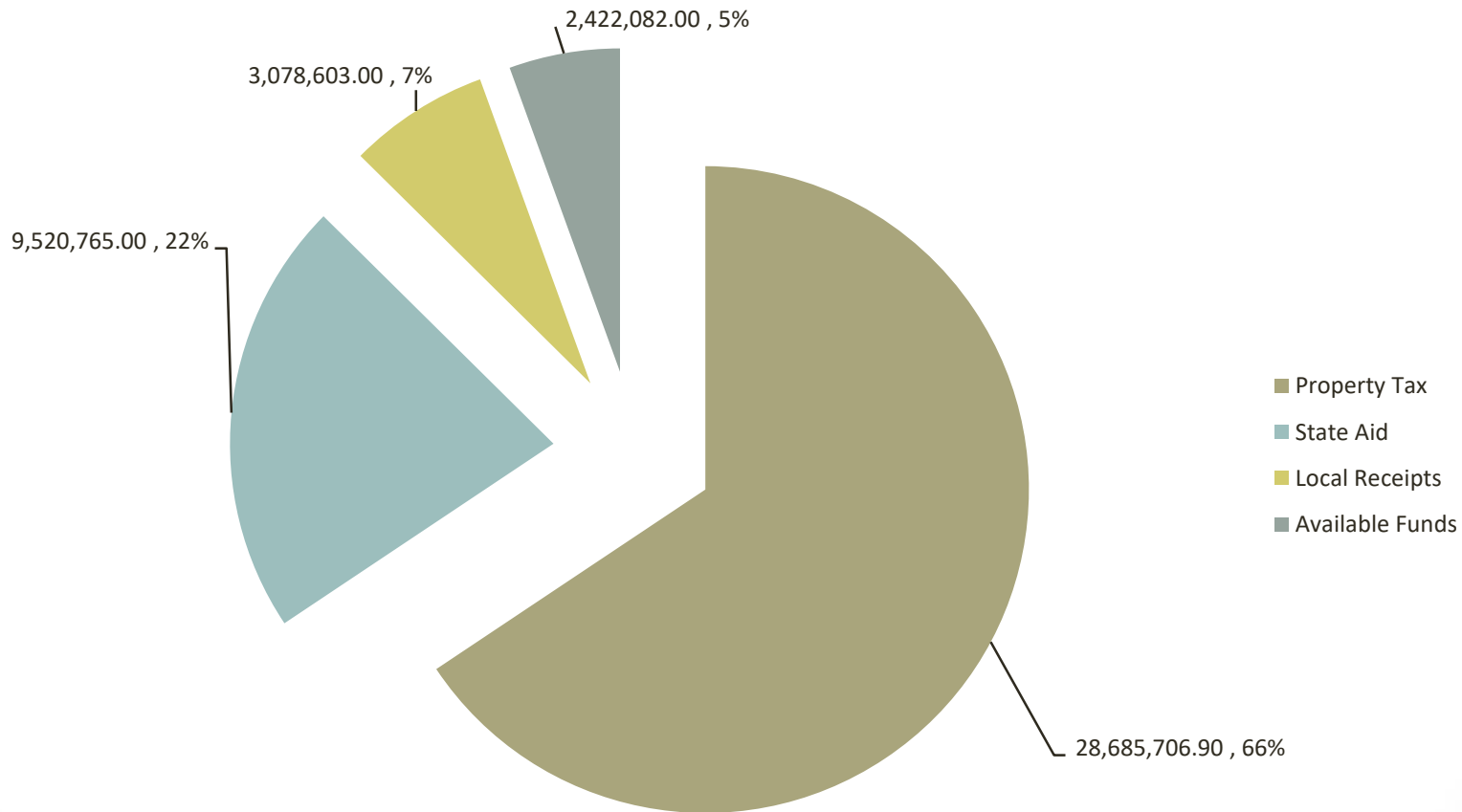
- Revenues:
 - State Aid (Governor’s Budget Proposal); Governor’s proposal is a 2.28% increase
 - New Growth: Assumes \$234,000; continue to monitor and adjust if needed
- Expenditures:
 - Cherry Sheet Offsets and State Assessments: Uses the Governor’s figures
 - Health Insurance: Assumes a 3.7% increase for active employees and 5% for retirees. Actual Health insurance renewal rec’d end of February
 - Liability and WC Insurance: Assumes level funded. Renewals rec’d late March
 - Monty Tech Assessment: Assumes 2.5% increase; assessments received beg. of March
 - Snow and ice deficit for FY20: If we are unable to cover the deficit with end of the year interdepartmental transfers, there is approximately \$218K of unexpended free cash that could help cover the deficit.

FY 2021 Revenues

FY2021- Projected Revenues

• Property Tax	\$28,685,707
• State Aid	\$ 9,520,765
• Local Receipts	\$ 3,078,603
• Other Avail. Funds	\$ 2,422,082
• Total	\$43,707,157

FY2021- Revenue Estimates



FY2021 Revenue Estimates

	FY2018		FY2019		FY2020		FY21 TM	
	After Recap		After Recap		After Recap		Prelim. Budget	Dollar Increase
Revenue								Over PY
Property Tax*	\$	25,848,475	\$	26,994,911		\$28,054,410	\$28,685,707	\$631,297
State Aid	\$	8,972,793	\$	9,074,334	\$	9,250,358	\$ 9,520,765	\$ 270,407
Local Receipts	\$	2,867,168	\$	2,940,817	\$	3,010,153	\$ 3,078,603	\$ 68,450
Available Funds**	\$	2,240,771	\$	2,669,543	\$	3,035,225	\$ 2,422,082	\$ (613,143)
total:	\$	39,929,207	\$	41,679,605		\$43,350,146	\$43,707,156	\$357,011
*Property Tax includes starting tax levy, 2 1/2%, New Growth, Excludable Debt								
** Available funds will fluctuate mainly due to use of free cash.								

■ Noteworthy Highlights:

- Property Tax increase significantly less due to the decline in New Growth
- Governor's State Aid Proposal is less than FY20 increase
- Estimate for local receipts is conservative
- Available funds reflects significant decrease from previous year. As indicated, this fluctuates mainly due to use of free cash.

FY 2021- Property Tax

- Property Tax –
 - Prior Year base (\$25,107,061.90) plus 2 ½% increase (\$627,677)
 - Estimate for New Growth (\$234,000)
 - No New Overrides or Exclusions
 - Excluded Debt from previous projects for FY21 = \$2,716,968
 - Maximum allowable tax levy for FY2021=\$28,685,707

History of New Growth

New Growth History				
Fiscal Year		RE	PP	Total
2020		208,795	157,436	366,231
2019		375,234	97,262	472,536
2018		385,692	95,804	481,496
2017		429,588	58,367	487,955
2016		320,250	40,606	360,856
2015		185,330	77,154	262,484
Average		317,482	87,772	405,260
Estimate		161,520	72,480	234,000

FY2021- State Aid

- This budget recommendation includes the Governor's State Aid proposal
- Governor's Budget, House 1, was released on 01.22.20
- Budget Proposal provides for additional \$155,185 in Chapter 70 funds (2% increase) and an additional \$31,442 in Unrestricted General Government Aid (2.8% increase); the total estimate for FY21 = \$9,520,765 an increase of 2.28%.

History of State Aid

	FY2012 Budget	FY2013 Budget	FY2014 Budget	FY2015 Budget	FY2016 Budget	FY2017 Budget	FY2018 Budget	FY2019 Budget	FY2020 Budget	FY2021 Projected
STATE AID CHERRY SHEET										
Chapter 70 Education Aid	4,522,545	5,219,937	5,354,696	5,605,872	5,834,483	6,351,257	7,272,505	7,538,072	7,771,740	7,926,925
Charter Tuition Reimbursement	75,071	143,361	130,068	50,717	133,545	33,934	78,091	17,860	36,345	40,416
Charter Facility Reimbursement										-
Smart Growth				183,618	166,960	119,257	119,257	29,195	35,372	35,372
School Lunch (offset)	9,647	8,887	8,087	7,451	-	-	-	-		-
School Choice Receiving Tuition (offset)	370,139	319,057	298,593	241,290	227,741	268,906	281,212	241,647	182,658	216,202
Unrestricted General Government Aid	829,777	894,449	915,592	940,983	974,858	1,016,777	1,056,431	1,093,406	1,122,928	1,154,370
Veterans Benefits	10,568	14,496	26,454	40,539	55,238	81,303	45,280	35,873	55,161	42,316
Exemptions VBS and Elderly	58,621	57,665	60,628	61,689	63,425	66,101	58,172	55,517	61,979	62,042
State Owned land	47,800	48,829	49,795	47,844	47,844	47,275	47,230	47,230	26,222	26,082
Police Career Incentive							-			-
Public Libraries (offset)	12,222	12,078	11,488	14,647	14,398	14,137	14,615	15,534	16,524	17,040
TOTAL Cherry Sheet ③	5,936,390	6,718,759	6,855,401	7,194,650	7,518,492	7,998,947	8,972,793	9,074,334	9,308,929	9,520,765
Dollar Increase over previous FY	-45,929	782,369	136,642	339,249	323,842	480,455	973,846	101,541	234,595	211,836
% Increase over previous FY	-0.77%	13.18%	2.03%	4.95%	4.50%	6.39%	12.17%	1.13%	2.59%	2.28%

FY2021- Local Receipts

- Estimated Local Receipts – increased \$68,450, or 2.27% over the previous year's estimates
 - Motor Vehicle Excise Tax, licenses, permits, fees, fines, investment income
 - Elastic Revenues- very dependent upon the economy

FY2021 –Local Receipts

- Local Receipts: Estimate is an overall increase of 2.27% over the previous fiscal year estimates.

	FY2018	FY2019	FY2020	FY2021
	After Recap	After Recap	Estimated	Estimated
Local Receipts				
Motor Vehicle Excise	\$ 1,789,274	\$ 1,850,072	\$ 1,671,640	\$ 1,713,431
Other Excise				
Penalties & Interest on Taxes	\$ 337,927	\$ 156,024	\$ 156,022	\$ 159,142
Payments in lieu of Taxes	\$ 1,650	\$ 1,647	\$ 1,648	\$ 1,681
Charges for Services	\$ -	\$ -	\$ -	
Other Charges for Services	\$ -	\$ -	\$ -	
Fees	\$ 172,569	\$ 160,110	\$ 164,267	\$ 167,552
Rentals	\$ -	\$ -	\$ -	
Departmental Revenue- Schools	\$ 174,756	\$ 119,964	\$ 119,942	\$ 122,340
Departmental Revenue- Library	\$ -	\$ -	\$ -	
Departmental Revenue-Cemeteries	\$ 5,350	\$ 3,550	\$ 5,350	\$ 5,350
Departmental Revenue- Recreation	\$ -	\$ -	\$ -	
Other Departmental Revenue- Ambulance Fees	\$ 270,398	\$ 276,946	\$ 276,947	\$ 282,486
Licenses & Permits	\$ 202,350	\$ 252,315	\$ 252,317	\$ 257,363
Special Assessments	\$ 15,162	\$ 14,031	\$ 14,031	\$ 14,311
Fines & Forfeits	\$ 29,716	\$ 27,213	\$ 27,213	\$ 27,757
Investment Income	\$ 61,701	\$ 112,565	\$ 62,935	\$ 64,193
Miscellaneous, Solar Net Metering Credits	\$ 132,028	\$ 136,805	\$ 125,461	\$ 127,970
Miscellaneous, Local Option Meals	\$ 96,112	\$ 100,980	\$ 100,980	\$ 102,999
Miscellaneous, Supplemental Tax	\$ 97,562	\$ 58,097	\$ 31,400	\$ 32,028
Miscellaneous, RDS, Medicare Part D Reimbursement	\$ -	\$ -	\$ -	\$ -
Miscellaneous, Bond Premium	\$ -	\$ -	\$ -	\$ -
Miscellaneous, Medicaid Reimbursement	\$ -	\$ -	\$ -	\$ -
Miscellaneous, Supplemental State Aid	\$ -	\$ -	\$ -	\$ -
Miscellaneous Non- Recurring	\$ -	\$ -	\$ -	\$ -
total:	\$ 3,386,554	\$ 3,270,319	\$ 3,010,153	\$ 3,078,603
Dollar Increase Over Prior Year	\$ 182,949	\$ (116,235)	\$ (260,166)	\$ 68,450
Percentage Increase Over Prior Year	5.71%	-3.43%	-7.96%	2.27%

FY2021- Available Funds

- Available Funds

- Uses \$889,133 from certified Free Cash Available for appropriation used to offset the FY21 Capital Plan, OPEB, and regular Stabilization Account.
- MSBA Reimbursement: \$535,051.19. Reimbursement and associated debt payment will expire in 2023
- Water & Sewer Betterments
 - Fully funds associated debt service for water and sewer debt
- Sewer Enterprise Fund covers their Indirect Costs
- Public Access Enterprise Fund covers their Indirect Costs
- Transfers \$46,473 from the Artificial Turf Revolving Fund to pay the associated costs for the Artificial Turf Field Debt for FY21

FY2021-Available Funds

	FY2018	FY2019	FY2020	FY2021
	After Recap	After Recap	After Recap	Estimate
Available Funds				
Overlay Surplus				
Free Cash	\$ 720,952.00	\$ 602,736.00	\$ 1,297,731.96	\$ 889,133.00
Bond Premium			\$ 6,350.49	
Unexpended Articles		\$ 54,478.00	\$ 171,781.68	
Borrowing		\$ 480,495.00	\$ -	
Stabilization Fund				
Stabilization Fund, Tax Levy				
MSBA Reimbursement (Both debt an	\$ 534,198.00	\$ 534,198.00	\$ 535,316.89	\$ 535,051.19
MSBA Reserve Reimbursement Applied				
Sewer Enterprise Retained Earnings	\$ 68,423.00	\$ 70,464.00	\$ 70,805.00	\$ 73,933.00
Sewer Betterments	\$ 843,549.24	\$ 812,905.58	\$ 817,901.40	\$ 804,329.90
Water Betterments	\$ 62,781.00	\$ 58,468.13	\$ 56,837.50	\$ 55,837.50
Septic Loan Revenue	\$ 10,868.00	\$ 10,868.00	\$ -	
PEG Retained Earnings				\$ 17,324.00
Prior Year Capital (Unused)				
Bond Premium				
Sale of Cemetery Lots	\$ -		\$ 35,000.00	\$ -
Artificial Turf Revolving Fund		\$ 44,930.56	\$ 43,500.00	\$ 46,473.00
School Transportation Fee Offset	\$ -	\$ -	\$ -	\$ -
total:	\$ 2,240,771.24	\$ 2,669,543.27	\$ 3,035,224.92	\$ 2,422,081.59
Dollar Increase Over Prior Year	\$ 450,181	\$ 428,772	\$ 365,682	\$ (613,143)
Percentage Increase Over Prior Year	25.14%	19.14%	13.70%	-20.20%

FY2021 Expenditures

Expenditures

- Expenditures are a reflection of the cost of providing a level of services to residents of all ages in our community, to visitors traveling or doing business in Lunenburg, and maintaining or improving our assets.
- As a town, we provide services to students, we provide health and human services to seniors and veterans, recreational services, public safety to all
- The balance is to provide the best services possible given the available resources, maintain our assets, and put aside funding for anticipated capital and into our “rainy day fund”.

Expenditures

- Expenditures are divided into:
 - Departments
 - Non-Appropriated Costs: Cherry Sheet Offset Charges, Allowance for Abatements, Tax Title, Retirement Assessment
 - Sewer Enterprise Fund
 - Water Enterprise Fund
 - Solid Waste Disposal Enterprise Fund
 - Cable Access Enterprise Fund
 - Other Warrant Articles with a Financial Impact including transfers into Stabilization, OPEB Trust Fund, and Capital

FY2021 Target Budget Highlights

- Police- **\$72k** for add'l Patrol Officer
- Fire – **\$77k** for add'l Career Firefighter
- Regional Dispatch- **\$27K** assessment increase
- DPW- **\$50K** for Pavement Management
- Lunenburg Public Schools-**\$520K** for a 2.5% increase
- Monty Tech Assessment- **\$19K** for a 2.5% increase
- Worcester Reg. Retirement-**\$135K** or 10% increase
- Health Insurance-**\$154K** or 6.5% increase

FY2021 Above Target Highlights:

- General Govt: **\$39,996K** more than target for add'l funds for election, census and registration workers; add'l hours for Assistant Town Clerk; increased software costs;
- Fire – additional **\$21k** more than target to increase on-call firefighter/EMT accounts
- DPW- **\$22K** for Cemetery
- Board of Health- additional **\$7K** for add'l hours for BOH Admin (2nd yr requested); 5% increase for Nashoba Health/Nursing
- Library-**\$37K** more than target for increases across most of their accounts.
- Lunenburg Public Schools – Total original request **+294,542K** **over target** to fund Superintendent Proposed Budget (4% increase as of end of December).

FY2021 TM Preliminary Budget:

- General Govt: Funds the target and above target requests for additional hours for Assistant Town Clerk, addresses election/census/reg workers salaries, new voting booths, increase in software costs
- Police- Funds requested budget for additional FT Patrol Officer
- Fire – Funds target budget and \$6K of above target request
- DPW- Includes additional \$50K for Pavement Management; additional \$20K for Facilities; additional \$10K for Cemetery; eliminates Asst Mechanic -\$40K; cuts electricity costs by -\$8K
- Health Insurance- Currently reduced to max. of 3.7% increase or \$116,183 increase. Actual renewal by the end of February.
- Lunenburg Public Schools – Preliminary recommendation 2.5% increase; due to the reduction in health insurance figure from 6.5% to 3.7%, the Superintendent's Proposed budget decreased from a 4% to a 3.64% increase or \$219K more than target budget.

FY2021 Expenditures

	FY21 TM Prelim. Budget	FY21 Prelim. Budget Dollar Inc. over PFY	FY21 Prelim. Budget % of total increase
Expenditures:			
General Fund Expenditures:			
General Government	\$ 1,617,795	\$ 88,773	7.62%
Central Purchasing	\$ 56,280	\$ (4,023)	-0.35%
Police	\$ 1,947,170	\$ 108,335	9.30%
Fire	\$ 1,226,439	\$ 86,855	7.46%
Radio Watch	\$ 317,528	\$ 27,497	2.36%
Other Protection	\$ 201,557	\$ 9,499	0.82%
Department of Public Works	\$ 1,884,188	\$ 71,438	6.14%
Public Buildings & Facilities	\$ 720,579	\$ 12,540	1.08%
Solid Waste	\$ 218,634	\$ 184	0.02%
Health & Sanitation	\$ 86,687	\$ 9,371	0.80%
Council on Aging	\$ 159,813	\$ 11,644	1.00%
Veterans	\$ 105,775	\$ -	0.00%
Lunenburg Public Schools	\$ 21,333,446	\$ 519,897	44.65%
Monty Tech Assessment	\$ 796,910	\$ 19,437	1.67%
Library	\$ 433,197	\$ 14,457	1.24%
Debt Service	\$ 4,590,491	\$ (91,181)	-7.83%
Unclassified	\$ 3,338,915	\$ 131,888	11.33%
Retirement Assessment	\$ 1,502,144	\$ 147,791	12.69%
		\$ -	
sub-total:	\$ 40,537,547.30	\$ 1,164,402	

FY2021 Expenditures-

Non-Discretionary- Debt Service

Total appropriation for Debt Service = \$4,590,491

	FY2019	FY2020	FY2021 TM	Dollar Increase
	After Recap	After Recap	Prelim. Budget	Over PFY
Total: Debt Service	\$ 4,758,053	\$ 4,681,672	\$ 4,590,491	\$ (91,181)
offsets:				
Tax, Outside Prop 2 1/2	\$ 2,857,515	\$ 2,947,348	\$ 2,716,968	\$ (230,380)
Sewer Betterment	\$ 812,905	\$ 817,901	\$ 804,330	\$ (13,571)
Water Betterment	\$ 58,468	\$ 56,838	\$ 55,838	\$ (1,000)
Septic Receipts	\$ 10,868			
Bond Premium				
MSBA	\$ 534,198	\$ 535,317	\$ 535,051	\$ (266)
Net Impact: General Fund	\$ 484,098	\$ 324,269	\$ 478,304	\$ 154,036

FY2021 Expenditures

Non-Discretionary –Debt Service

Town of Lunenburg

Debt

	FY2019 Projected	FY2020 Projected	FY2021 Projected	FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected
Total General Fund Regular Debt	\$ 549,778.24	\$ 380,842.57	\$ 533,903.83	\$ 517,394.84	\$ 456,802.33	\$ 330,170.11	\$ 310,538.63
Total General Fund Excludable Debt	\$ 3,393,089.25	\$ 3,482,664.84	\$ 3,252,019.64	\$ 3,228,498.15	\$ 3,230,589.79	\$ 2,396,328.76	\$ 2,177,558.76
Total General Fund Short-term Interest	\$ 1,991.78	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total Sewer Debt	\$ 806,851.33	\$ 812,828.95	\$ 800,201.18	\$ 702,691.70	\$ 685,558.29	\$ 645,143.85	\$ 310,433.44
Grand Total Debt Service	\$ 4,751,710.60	\$ 4,676,336.36	\$ 4,586,124.65	\$ 4,448,584.69	\$ 4,372,950.41	\$ 3,371,642.72	\$ 2,798,530.83
Premiums/MSBA Reimb Excludable Debt	\$ 535,574.41	\$ 535,316.88	\$ 535,051.19	\$ 534,779.55	\$ 534,501.26	\$ 59,968.64	\$ 4.19
Net Excludable Debt - Tax Levy - DE1	\$ 2,857,514.84	\$ 2,947,347.96	\$ 2,716,968.45	\$ 2,693,718.60	\$ 2,696,088.53	\$ 2,336,360.12	\$ 2,177,554.57
Regular Debt Administrative Fees	\$ 287.65	\$ 262.78	\$ 237.40	\$ 211.51	\$ 185.10	\$ 158.15	\$ 130.66
Sewer Debt Administrative Fees	\$ 6,054.25	\$ 5,072.45	\$ 4,128.72	\$ 3,184.46	\$ 2,434.03	\$ 1,672.43	\$ 1,234.72
Transfer from Sewer Enterprise - Sewer Debt Service	\$ 812,905.58	\$ 817,901.40	\$ 804,329.90	\$ 705,876.16	\$ 687,992.32	\$ 646,816.28	\$ 311,668.16
Transfer from Septic Receipts Reserved	\$ 10,868.00						
Meadow Woods Water Betterment Revenue	\$ 58,468.13	\$ 56,837.50	\$ 55,837.50	\$ 54,837.50	\$ 58,837.50	\$ 57,587.50	\$ 56,337.50
Transfer from Artificial Turf Revolving	\$ 44,930.56	\$ 43,500.00	\$ 46,473.00	\$ 44,318.19	\$ 42,134.74	\$ 39,321.78	\$ 41,478.43
Net Regular Debt Service	\$ 437,790.98	\$ 280,767.85	\$ 431,830.73	\$ 418,450.66	\$ 356,015.19	\$ 233,418.98	\$ 212,853.36
% of Net Regular Debt to Levy (cap of 4% per Policy)	1.81%	1.12%	1.66%	1.55%	1.27%	0.80%	0.71%
Net Excludable Debt	\$ 2,857,514.84	\$ 2,947,347.96	\$ 2,716,968.45	\$ 2,693,718.60	\$ 2,696,088.53	\$ 2,336,360.12	\$ 2,177,554.57
% of Excludable Debt to Total Levy (cap of 11% per Policy)	10.61%	10.51%	9.43%	9.06%	8.78%	7.45%	6.76%
% of Aggregate Debt Service Costs to Total Levy (cap of 14% per Policy)	12.23%	11.51%	10.93%	10.47%	9.94%	8.20%	7.42%

FY2021 Expenditures, Non-Discretionary-General Government Unclassified

- Insurance Estimates

- Liability, Police/ Fire IOD and Worker's Compensation are level funded based on actual expenditures for FY19 and FY20 and history of reward and participation credits.
- Health Insurance Renewal estimate is 3.7% increase for active employees and 5% increase for retirees:
 - 38% of Health Insurance budget is active town employees; 62% is retiree health insurance for both town and school. The active portion is approx. \$966K out of the \$2.489M. School retirees account for \$1.088M and Town retirees account for \$413K.
 - Retirees renewal is on a calendar year basis and is based on a 5% increase for MedEx 2, Managed Blue and Medicare.
 - A new Public Employee Committee Agreement went into effect in FY19 and included plan design changes that reduced our current and retiree health insurance costs.
 - We will receive our Health Insurance renewals by the end of February.

FY2021 Expenditures-Non-Appropriated Expenditures

	FY2019	FY2020	FY2021	FY2021 TM	Dollar Increase
	After Recap	After Recap	Target Budget	Prelim. Budget	Over PFY
Court Judgments					
Cherry Sheet Charges	\$ 1,044,696	\$ 1,082,507	\$ 1,082,507	\$ 1,063,108	\$ (19,399)
Cherry Sheet Offsets	\$ 257,181	\$ 199,182	\$ 199,182	\$ 233,242	\$ 34,060
Overlay	\$ 175,016	\$ 175,000	\$ 175,000	\$ 175,000	\$ -
Tax Title	\$ 10,500	\$ 24,000	\$ 24,000	\$ 24,000	\$ -
sub-total:	\$ 1,487,393	\$ 1,480,689	\$ 1,480,689	\$ 1,495,350	

Noteworthy Highlights:

- Cherry Sheet Charges decreased and Cherry Sheet Offsets increased from the previous fiscal year.
- The Overlay and Tax Title amounts are level funded. Tax Title amount should be revisited based on amount requested by Tax Collector.

FY2021 Expenditures- Capital, OPEB, Stabilization

	FY2018 After Recap	FY19 Target Budget	FY2019 After Recap	FY2020 After Recap	FY2021 TM Prelim. Budget	Dollar Increase Over PFY
Other Warrant Articles:						
Capital Articles	\$ 658,317	\$ 650,000	\$ 1,455,214	\$ 1,684,100	\$ 1,329,133	\$ (354,967)
Other Capital						
Teachers Salary Deferral						
Sanitary Landfill Repair						
CAFO Salary Adjustment						
Police Detail Revolving						
Fire Department Vehicle						
Smart Growth Zoning Stabilization Fund						
Comprehensive Road Management Plan						
Prior Year Expenses	\$ 21,411	\$ -				
OPEB Liability	\$ 100,000	\$ 100,000	\$ 100,656	\$ 150,000	\$ 110,000	\$ (40,000)
Stabilization Fund	\$ 84,523	\$ 87,000	\$ 87,000	\$ 100,000	\$ 100,000	
Special Purpose Stabilization Fund	\$ 235,000	\$ 200,000	\$ 399,227	\$ 288,222		\$ (288,222)
sub-total:	\$ 1,099,251	\$ 1,037,000	\$ 2,042,097	\$ 2,222,322	\$ 1,539,133	\$ (683,189)

FY2021 Capital

Priority #	CIP#	Dept.	Project Name	Category	FY2021 Projected
1	FM20-01	DPW	Town Hall, ADA Ramp/Sidewalk	Facilities	\$22,000
2	INFRA20-01	Highway	Flat Hill Culvert Design	Infrastructure	\$112,500
3	LPS16-19-C	Schools	THES Asbestos Abatement/Ceiling Replacement	Facilities	\$123,500
4	PD19-01	Police	Police Vehicle, 1 Marked New	Vehicle	\$67,000
5	FD17-05-B	Fire	SCBA Complement, Replacement (1/2)	Equipment	\$115,000
6	PD16-14	Police	Police Vehicle, 1 Marked Replacement	Vehicle	\$67,000
7	FD16-20-A	Fire	ALS Equipment Phase 1	Equipment	\$54,800
8	PD20-01	Police	ACO Vehicle	Vehicle	\$26,000
9	FD20-01	Fire	Midlife Overhaul of Squad 3	Vehicle	\$65,000
10	PD16-18	Police	Portable Radios	Equipment	\$45,000
11	LPS19-03-A	Schools	Design AC for Classrooms at Primary	Planning	\$10,000
12	DPW16-10	Highway	Trackless & Attachments	Vehicle	\$170,000
13	FM17-16A	DPW	Senior Center, Reconfigure Front Entrance	Facilities	\$24,000
14	DPW17-11	Highway	One Ton Dump with Plow	Vehicle	\$58,833
15	FM16-02	DPW	PSB, Carport Reconfiguration	Facilities	\$135,000
16	FM20-06	DPW	Senior Center, Kitchen Remodel	Facilities	\$22,000
17	LPS19-02	Schools	Admin Air Conditioning, THES	Facilities	\$28,000
18	FM16-11	DPW	Library, Carpet	Facilities	\$126,000
19	FM20-07	DPW	Ritter, Kitchen Remodel	Facilities	\$12,000
20	FM20-02	DPW	Ritter, ADA Ramp Design	Facilities	\$25,500
21	FM20-10	DPW	Cemetery Parking Lot	Facilities	\$20,000
			Total Capital Plan		\$1,329,133
		Funding:	Raise & appropriate		\$650,000
			Free cash		\$679,133
			Unexpended Capital		
			Premium Reserved for Capital		
			Total		\$1,329,133

FY2021 Preliminary Budget

Recap of Less Discretionary & Discretionary Expenditures

The FY 2021 Budget Recommendation reflects requests to increase the staffing levels for certain departments:

- Includes One Additional Police Officer; reduces Payroll Lock-Up and Shift Differential accounts by approximately \$22K from previous FY
- Includes One Additional Career Firefighter;
- Adds eight hours for the Assistant Town Clerk and six hours for the Board of Health Administrative Assistant
- Includes an Education and Enforcement Coordinator position that is entirely funded by grant funds

Includes additional \$50K for Pavement Management; adds \$10K for Cemetery; eliminates the Assistant Town Mechanic Position and cuts electricity costs by \$8K and reallocates these funds by adding \$27K for ADA Public Rights of Way funding and an additional \$20K for Facilities.

Departments will provide a more in-depth review of above level service needs versus Level Service Budget during individual presentations

FY2021 Expenditures-

Conclusions

- Includes Governor's Budget Proposal for State Aid- figures which are subject to change.
- Fully funds all contractual obligations and increased costs for non-personnel related expenditures
- Balanced based upon use of recurring revenues for operating costs; no draw on Stabilization Fund or Free Cash for operating expenses
- Maintains existing staff with net 1 additional town employee
- Preliminary budget does not meet the Superintendent's Proposed budget; goal would be to revisit once unknowns become clearer
- Recommended budget does not fully meet all needs as requested by Department Heads
- Preliminary budget leaves an unallocated balance of \$135K

Looking Ahead

FY21-25 Projected Debt & Capacity

Debt

	FY2020 Budget	FY2021 Projected	FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected
Total General Fund Regular Debt	\$ 380,842.57	\$ 533,903.83	\$ 517,394.84	\$ 456,802.33	\$ 330,170.11	\$ 310,538.63
Total General Fund Excludable Debt	\$ 3,482,664.84	\$ 3,440,877.14	\$ 3,417,548.15	\$ 3,419,389.79	\$ 2,584,628.76	\$ 2,365,108.76
Total General Fund Short-term Interest	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total Sewer Debt	\$ 812,828.95	\$ 800,201.18	\$ 702,691.70	\$ 685,558.29	\$ 645,143.85	\$ 310,433.44
Grand Total Debt Service	\$ 4,676,336.36	\$ 4,774,982.15	\$ 4,637,634.69	\$ 4,561,750.41	\$ 3,559,942.72	\$ 2,986,080.83
Premiums/MSBA Reimb Excludable Debt	\$ 535,316.88	\$ 535,051.19	\$ 534,779.55	\$ 534,501.26	\$ 59,968.64	\$ 4.19
Net Excludable Debt - Tax Levy - DE1	\$ 2,947,347.96	\$ 2,905,825.95	\$ 2,882,768.60	\$ 2,884,888.53	\$ 2,524,660.12	\$ 2,365,104.57
Regular Debt Administrative Fees	\$ 262.78	\$ 237.40	\$ 211.51	\$ 185.10	\$ 158.15	\$ 130.66
Sewer Debt Administrative Fees	\$ 5,072.45	\$ 4,128.72	\$ 3,184.46	\$ 2,434.03	\$ 1,672.43	\$ 1,234.72
Transfer from Sewer Enterprise - Sewer Debt Service	\$ 817,901.40	\$ 804,329.90	\$ 705,876.16	\$ 687,992.32	\$ 646,816.28	\$ 311,668.16
Transfer from Septic Receipts Reserved						
Meadow Woods Water Betterment Revenue	\$ 56,837.50	\$ 55,837.50	\$ 54,837.50	\$ 58,837.50	\$ 57,587.50	\$ 56,337.50
Transfer from Artificial Turf Revolving	\$ 43,500.00	\$ 46,473.00	\$ 44,318.19	\$ 42,134.74	\$ 39,321.78	\$ 41,478.43
Net Regular Debt Service	\$ 280,767.85	\$ 431,830.73	\$ 418,450.66	\$ 356,015.19	\$ 233,418.98	\$ 212,853.36
% of Net Regular Debt to Levy (cap of 4% per Policy)	1.12%	1.66%	1.55%	1.27%	0.80%	0.71%
Net Excludable Debt	\$ 2,947,347.96	\$ 2,905,825.95	\$ 2,882,768.60	\$ 2,884,888.53	\$ 2,524,660.12	\$ 2,365,104.57
% of Excludable Debt to Total Levy (cap of 11% per Policy)	10.51%	10.09%	9.70%	9.39%	8.05%	7.34%
% of Aggregate Debt Service Costs to Total Levy (cap of 14% per Policy)	11.51%	11.59%	11.10%	10.55%	8.80%	8.00%
Tax Levy	\$ 25,107,062.00	\$26,084,739.00	\$27,036,857.00	\$28,012,778.00	\$29,013,097.00	\$30,038,424.00
Regular Borrowing Capacity Cap of 4%	\$ 1,004,282.48	\$ 1,043,389.56	\$ 1,081,474.28	\$ 1,120,511.12	\$ 1,160,523.88	\$ 1,201,536.96
Current Regular Borrowing	\$ 280,767.85	\$ 431,830.73	\$ 418,450.66	\$ 356,015.19	\$ 233,418.98	\$ 212,853.36
Difference Between Capacity and Current	\$ 723,514.63	\$ 611,558.83	\$ 663,023.62	\$ 764,495.93	\$ 927,104.90	\$ 988,683.60
Tax Levy w/ Excludable Debt	\$ 28,054,407.00	\$28,801,707.00	\$29,730,576.00	\$30,708,867.00	\$31,349,457.00	\$32,215,979.00
Excludable Debt Borrowing Capacity Cap of 11%	\$ 3,085,984.77	\$ 3,168,187.77	\$ 3,270,363.36	\$ 3,377,975.37	\$ 3,448,440.27	\$ 3,543,757.69
Current Excludable Debt Borrowing	\$ 2,947,347.96	\$ 2,905,825.95	\$ 2,882,768.60	\$ 2,884,888.53	\$ 2,524,660.12	\$ 2,365,104.57
Difference Between Capacity and Current	\$ 138,636.81	\$ 262,361.82	\$ 387,594.76	\$ 493,086.84	\$ 923,780.15	\$ 1,178,653.12
Total Tax Levy	\$ 28,054,407.00	\$28,801,707.00	\$29,730,576.00	\$30,708,867.00	\$31,349,457.00	\$32,215,979.00
Aggregate Debt Service Capacity Cap of 14%	\$ 3,927,616.98	\$ 4,032,238.98	\$ 4,162,280.64	\$ 4,299,241.38	\$ 4,388,923.98	\$ 4,510,237.06
Current Aggregate Debt Service	\$ 3,228,115.81	\$ 3,337,656.68	\$ 3,301,219.26	\$ 3,240,903.72	\$ 2,758,079.10	\$ 2,577,957.93
Difference Between Capacity and Current	\$ 699,501.17	\$ 694,582.30	\$ 861,061.38	\$ 1,058,337.66	\$ 1,630,844.88	\$ 1,932,279.13

Five Year Tax Rate Impact

Year: Fiscal Year:		3 2020	4 2021	5 2022	6 2023	7 2024	8 2025
Total Assessed value		1,548,256,450	1,579,221,579	1,610,806,011	1,643,022,131	1,675,882,573	1,709,400,225
% change		2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
Single Family Average Assessed Value		283,507	289,177	294,961	300,860	306,877	313,015
% change		2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
Levy ceiling		38,706,411	39,480,539	40,270,150	41,075,553	41,897,064	42,735,006
Levy Limit to Levy Ceiling Ratio		0.64	0.65	0.66	0.67	0.68	0.69
Levy Limit (w/o debt exclusions)	2.5%	24,740,831	25,734,738	26,617,957	27,488,406	28,380,616	29,295,131
New Growth		366,231	234,000	200,000	200,000	200,000	200,000
New Levy Limit		25,107,062	25,968,738	26,817,957	27,688,406	28,580,616	29,495,131
Levy as percent of Levy Limit		100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Add Override / (Underride as negative)		0	0	0	0	0	0
Tax rate impact		\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Levy (taxation)		25,107,062	25,968,738	26,817,957	27,688,406	28,580,616	29,495,131
Base tax rate - w/o debt exclusions		16.22	16.44	16.65	16.85	17.05	17.25
Annual Tax Rate Change -w/o debt exclusions		(\$0.49)	\$0.23	\$0.20	\$0.20	\$0.20	\$0.20
Add Debt Exclusion		2,947,348	2,716,968	2,693,719	2,696,089	2,336,360	2,177,555
Tax Levy		28,054,410	28,685,706	29,511,675	30,384,494	30,916,976	31,672,686
Tax rate impact		\$1.90	\$1.72	\$1.67	\$1.64	\$1.39	\$1.27
Adjusted tax rate		\$18.12	\$18.16	\$18.32	\$18.49	\$18.45	\$18.53
Annual Tax Rate Change		(\$0.56)	\$0.04	\$0.16	\$0.17	(\$0.04)	\$0.08

FY21 Budget Calendar

- Finance Committee will begin a detailed review of the FY21 Budget- Feb 20th
- House Ways & Means Budget, end of April
- Senate Budget, end of May
- Town Meeting: May 2
- Town Election: May 16
- State Budget: Conference Committee by June 30th
- State Aid finalized by July

FinCom Budget Meeting Schedule

Thursday, February 13, 2020		
	6:30	Town Manager's Budget Presentation
Thursday, February 20, 2020/Snow Date- Monday, February 24, 2020		
	6:30	Council on Aging
	7:00	Land Use
	7:30	Library
Thursday, February 27, 2020/Snow Date- Monday, March 2, 2020		
	6:30	Fire
	7:30	Police
Thursday, March 5, 2020/ Snow Date- Monday, March 9, 2020		
	6:30	Monty Tech
	7:30	Public Access Committee
Thursday, March 12, 2020/ Snow Date- Monday, March 16, 2020		
	6:30	Lunenburg Public Schools
	7:30	DPW
Thursday, March 19, 2020 / Snow Date- Monday, March 23, 2020		
	6:30	Administration, Unclassified, Debt Service
	7:00	Other Monied Articles
	7:30	Sewer
Thursday, March 26, 2020		
	6:30	FY2020 Budget Public Hearing and Vote on Recommendations